

investments, sometimes not. They are, however, always terrific investment *vehicles*. Policyholders, in paying premiums, provide a constant stream of cash; insurance companies invest this cash until claims are filed. Because of the uncertainty of when claims will occur, insurance companies opt to invest in liquid securities—primarily short-term fixed income securities, longer-dated bonds, and stocks. Thus Warren Buffett acquired not only two modestly healthy companies, but also a cast-iron vehicle for managing investments.

In 1967, the two insurance companies had a bond portfolio worth more than \$24.7 million and a stock portfolio worth \$7.2 million. In two years, the combined portfolio approached \$42 million. This was a handsome portfolio for a seasoned stock picker like Buffett. He had already experienced some limited success managing the textile company's securities portfolio. When Buffett took control of Berkshire in 1965, the company had \$2.9 million in marketable securities. By the end of the first year Buffett had enlarged the securities account to \$5.4 million. In 1967, the dollar return from investing was three times the return of the entire textile division, which had 10 times the equity base of the common stock portfolio.

It has been argued that when Buffett entered the insurance business and exited the textile business, he merely exchanged one commodity for another. Insurance companies, like textiles, are selling a product that is indistinguishable. Insurance policies are standardized and can be copied by anyone. There are no trademarks, patents, advantages in location, or raw materials that distinguish one from another. It is easy to get licensed, and insurance rates are an open book. Often the most distinguishable attribute of an insurance company is its personnel. The efforts of individual managers have enormous impact on an insurance company's performance. Over the years, Buffett has added several insurance companies to the Berkshire insurance group. One prominent addition, now well known thanks to a clever advertising campaign, is GEICO. By 1991, Berkshire Hathaway owned nearly half of GEICO's outstanding common shares. For the next three years, the company's impressive performance continued to climb; so did Buffett's interest. In 1994, Berkshire announced it owned 51 percent of the company, and serious discussion began on GEICO joining the Berkshire